Question #1 - 6 of 21

Question ID: 1675885

With respect to establishing compliance with the CFA Institute Asset Manager Code of Professional Conduct, the fact that Book is not a member of CFA Institute is:

A) important and must be immediately remedied by him joining CFA Institute, but he does not have to enroll for the Level I exam. ✗

B) not directly important. ✓

C) important and must be immediately remedied by him enrolling for the Level I exam. ✗

Explanation

It is not required that a CFA Institute member establish compliance.

(Module 22.1, LOS 22.d)

Question #2 - 6 of 21

Question ID: 1675886

Litman's past and future policy concerning the monitoring and control of the exchange of gifts has:

A) only one problem: she apparently has not prohibited cash gifts. ✗

B) at least two problems: she apparently was not informed in writing and she has not prohibited cash gifts. ✓

C) only one problem: she apparently was not informed in writing. ✗

Explanation

Recommending practices and procedures designed to prevent violations of the Asset Manager Code addresses loyalty to clients. Loyalty to clients deals with always putting the client's interests before your own, maintaining the confidentiality of client information, and not engaging in any business relationship or accepting gifts from others that could affect your judgment and objectivity. The code requires a determination of what constitutes a token gift and allowing only token gifts from outside business. This is to limit the influence of these individuals over the asset manager. Cash should never be accepted; employees should always notify their supervisor in writing when they accept any gifts. Litman made no reference to prohibiting cash, and the conversation implies that Litman had not been getting reports of gifts in writing.

(Module 22.1, LOS 22.d)

Question #3 - 6 of 21

Question ID: 1675887

Litman's instructions to Book concerning creating an anti-money laundering policy to detect and help prevent CGFC from being used for that purpose and other illegal activities is:

A) not appropriate, nor is the issue a part of the CFA Institute Asset Manager Code of Professional Conduct. ✗

B) not entirely correct in that CGFC may give necessary information to legal authorities in the event of an investigation. ✓

C) appropriate and correct. ✗

Explanation

Recommending practices and procedures designed to prevent violations of the Asset Manager Code addresses loyalty to clients. Loyalty to clients deals with always putting the client's interests before your own, maintaining the confidentiality of client information, and not engaging in any business relationship or accepting gifts from others that could affect your judgment and objectivity. Appropriate procedures include creating an anti-money laundering policy to detect and help prevent firms from being used for money laundering or other illegal activities and creating a procedure that delineates how confidential client information should be collected, used, and stored. The confidential information policy does not preclude disseminating necessary information to legal authorities in the event of an investigation.

(Module 22.1, LOS 22.d)

Question #4 - 6 of 21

Question ID: 1675888

Litman's plan for making Book the compliance officer at CGFC is:

A) not appropriate because Book is new to the firm. ✗

B) not appropriate because Book is not a member of CFA Institute. ✗

C) not appropriate because in that position, Book should be the one reporting to the CEO and the board of directors. ✓

Explanation

Recommending practices and procedures designed to prevent violations of the Asset Manager Code addresses compliance and support. Under compliance and support, the procedures specify that a compliance officer should be designated who reports directly to the CEO or board of directors, and who is responsible for making sure compliance procedures are in place and followed. There are not strict and specific qualifications such as being a member of CFA Institute (or not), nor how long the officer has been with the firm.

(Module 22.1, LOS 22.d)

Question #5 - 6 of 21

Question ID: 1675889

In drafting procedures for monitoring performance and evaluating managers, the:

A) suggestions by both Litman and Book are not generally accepted, nor recommended by the CFA Institute Asset Manager Code of Professional Conduct. ✗

B) suggestions by both Litman and Book are generally accepted and recommended to comply with the CFA Institute Asset Manager Code of Professional Conduct. ✓

C) suggestion by Litman is generally accepted, but that of Book is a violation of the CFA Institute Asset Manager Code of Professional Conduct. ✗

Explanation

Recommending practices and procedures designed to prevent violations of the Asset Manager Code addresses performance and valuation. Performance and valuation deal with reporting investment results in an accurate manner without misrepresentation and using fair market values when determining portfolio asset values. A good guideline to follow would be the GIPS, which incorporates a high level of quality in reporting requirements. Because manager compensation is sometimes based on performance results, managers may be tempted to manipulate performance results in an attempt to increase their compensation. To avoid this conflict of interest, procedures for valuing asset accounts should include transferring the responsibility of valuing asset accounts to an independent third party.

(Module 22.1, LOS 22.d)

Question #6 - 6 of 21

Question ID: 1675890

In response to Book's suggestions concerning the hiring of a third party to review information disseminated to clients and for the plan for dealing with a natural disaster, according to the CFA Institute Asset Manager Code of Professional Conduct, Litman should:

A) adopt the plan for dealing with a natural disaster only. ✗

B) adopt both the hiring of a third party and the plan for dealing with a natural disaster. ✓

C) ignore both the hiring of a third party and the plan for dealing with a natural disaster. ✗

Explanation

Recommending practices and procedures designed to prevent violations of the Asset Manager Code addresses compliance and support. Compliance and support deal with the following: ensuring compliance with the Code and legal and regulatory requirements and appointing a compliance officer, ensuring that portfolio information disseminated to clients is accurate and complete and reviewed by an independent third party, appropriately maintaining records, employing qualified staff along with adequate resources, and instituting a contingency plan in the event of a natural disaster.

(Module 22.1, LOS 22.d)

Question #7 - 12 of 21

Question ID: 1675878

Which of Kratz's suggested additions to the disclosure policy goes beyond the recommendations set down by the Code?

A) Recommendation 1. ✗

B) Recommendation 2. ✓

C) Recommendation 3. ✗

Explanation

The suggested disclosures include allocation procedures, valuation methods, and proxy policies, but not qualifications of employees.

(Module 22.1, LOS 22.c)

Question #8 - 12 of 21

Question ID: 1675879

With regard to the Flimflam stock, the Code was:

A) broken when Jung purchased Flimflam for herself and when she purchased Flimflam for Yeats, but not when Yeats tipped her off about Flimflam. ✗

B) not broken. ✓

C) broken when Jung purchased Flimflam shares for herself, but not when she purchased the shares for Yeats or when Yeats tipped her off about Flimflam. ✗

Explanation

A speech at a fundraiser is most likely a public event. When a reporter is there, the issue of disclosure is moot, regardless of whether the reporter thought to write about the business news. Yeats's tip is legitimate—and, barring any rules about pre-authorization (of which we have no knowledge), Jung's purchase of Flimflam shares for Yeats and for herself is not a violation of the Code.

(Module 22.1, LOS 22.c)

Question #9 - 12 of 21

Question ID: 1675880

With regard to Babel, WFS:

A) can comply with the Code only if it switches to a different brokerage. ✗

B) can comply with the Code only if it receives permission from clients. ✗

C) is in compliance with the Code. ✓

Explanation

While the use of Babel may not look good, best pricing and execution is paramount. If clients are receiving the best service possible, the fact that Westmoreland's nephew owns the company does not put WFS in violation of the Code. However, WFS would be wise to either switch brokerages or disclose the relationship to clients and receive permission to use Babel.

(Module 22.1, LOS 22.c)

Question #10 - 12 of 21

Question ID: 1675881

How many items on WFS's disclosure policy are insufficient to satisfy the Code?

A) 0 items. ✗

B) 2 items. ✗

C) 1 item. ✓

Explanation

Under the Code (Section F on disclosures), it is necessary to disclose both gross- and net-of-fee returns so the item stating net of fees on the disclosure policy is insufficient.

The other items on the disclosure policy satisfy the Code.

(Module 22.1, LOS 22.c)

Question #11 - 12 of 21

Question ID: 1675882

Regarding the Yeats account, Jung broke the Code:

A) when she recommended Blanton shares for purchase and when she failed to purchase Blanton shares for Yeats in the morning. ✓

B) when she failed to purchase Blanton shares for Yeats in the morning, but not when she recommended Blanton shares for purchase. ✗

C) only when she sent the trading records to the IRS. ✗

Explanation

Jung violated the investment process rules when she recommended Blanton stock for purchase based on nothing more than a recommendation from a client and a few minutes of analysis. She received a phone call an hour before the market opened, yet she managed to talk to her client and research two stocks before the hour was up. She did not meet the standard to "thoroughly investigate and research different investment options to have a reasonable basis for a recommendation." As for Yeats's shares, while she did not have enough information to recommend Blanton, she did have Yeats's instructions to purchase the stock for himself. There appear to be no insider trading issues, as the only nonpublic information he cited was an informal conversation with the manager, which is not likely to be material. So, Jung should have purchased the shares for Yeats immediately but not recommended them for anyone else until she had researched the company thoroughly. Based on her reasoning for not buying Flimflam, Jung was allowed to purchase specific stocks at the request of investors without submitting them for approval by the investment director. Therefore, no matter what she thought about Blanton, there was no reason to wait on buying shares for Yeats. Regarding the IRS, confidentiality rules do not necessarily apply to official legal investigations.

(Module 22.1, LOS 22.c)

Question #12 - 12 of 21

Question ID: 1675883

Which of the rules that Kratz wrote down is *most likely* in violation of the Code?

A) Portfolio managers may accept any gift valued up to $2,000 provided that they notify their supervisors in writing, but they must receive written consent from the compliance officer in advance before accepting anything more expensive. ✓

B) IPOs are distributed to about 60% of client accounts in proportion to account size, but the remaining 40% do not receive any allocation. ✗

C) Most stock research is done in house. About 30% of WFS clients do not own bonds, but substantially all of client brokerage pays for bond research. ✗

Explanation

The Code prohibits the acceptance of gifts other than of a modest value. There is no dollar amount stipulated in the Standards, although most likely $2,000 would be considered excessive. The other requirements in the gift policy appear to conform.

The IPO allocation looks bad, but the Code says that investments must be fairly distributed among the accounts for which they are suitable. IPOs are not for everyone, and it is certainly plausible that 40% of client accounts are too conservative for such securities.

An annual review of investment policy statements is sufficient.

Regarding soft dollars, it is acknowledged that not every client will benefit from the all research. Such mismatches are unavoidable from a practical standpoint, and as long as brokerage is allocated toward research alone, the firm should be covered.

(Module 22.1, LOS 22.c)

Question #13 of 21

Question ID: 1675871

Which of the following *least likely* represents a purpose of the Asset Manager Code (AMC)?

A) Provide guidance for asset managers to provide services in a fair, professional manner, with full disclosure. ✗

B) Foster a culture of ethical and professional behavior throughout the firm. ✗

C) Provide a checklist for how to implement the AMC. ✓

Explanation

The purpose of the AMC is to foster a culture of ethical and professional behavior throughout the firm that protects the interests of investors, protects and enhances the reputation of the firm, and provides a useful framework for asset management firms to provide services in a fair and professional manner with full disclosure.

(Module 22.1, LOS 22.a)

Question #14 of 21

Question ID: 1675892

Which of the following procedures relates specifically to maintaining the confidentiality of information under the Loyalty section of the Code?

A) Creating and implementing an anti-money laundering policy. ✓

B) Maintaining records for an appropriate amount of time. ✗

C) Using reasonable care and prudent judgment when managing client accounts. ✗

Explanation

Where appropriate, firms should implement an anti-money laundering policy, which falls under the Loyalty to Clients section specifically related to preserving the confidentiality of client information. Developing a business continuity plan and maintaining records falls under the Compliance and Support section of the Code. Using reasonable care and prudence falls under the section of the Code concerning the investment process and actions.

(Module 22.1, LOS 22.d)

Question #15 of 21

Question ID: 1675872

One of the purposes of a firm adopting the Asset Manager Code (AMC) is to:

A) demonstrate a commitment to protect the interests of investors. ✓

B) increase the firm's overall profitability. ✗

C) earn a higher rate of return on its clients' investments. ✗

Explanation

The purpose of the AMC is to foster a culture of ethical and professional behavior throughout the firm that protects the interests of investors, protects and enhances the reputation of the firm, and provides a useful framework for asset management firms to provide services in a fair and professional manner with full disclosure. Gaining the confidence of clients is a purpose of the AMC and would be part of earning higher profits and higher return, but the correct answer is the most direct answer offered.

(Module 22.1, LOS 22.a)

Question #16 of 21

Question ID: 1675874

Which of the following is not part of the ethical responsibilities related to the Asset Manager Code of Professional Conduct?

A) Communicating with clients on a regular basis.

B) Trading regarding insider information, priority of transactions, soft dollars, and best execution.

C) Acting in an independent manner.

Explanation

The ethical responsibilities related to the Code are as follows:

- Always act ethically and professionally.
- Act in the best interest of the client.
- Act in an objective and independent manner.
- Perform actions using skill, competence, and diligence.
- Communicate accurately with clients on a regular basis.
- Comply with all legal and regulatory requirements.

Trading is not specifically mentioned in the ethical responsibilities section of the Asset Manager Code. It is, instead, one of the six components of the Asset Manager Code specifically regarding trading, which deals with insider information, fair dealing, soft dollars, best execution, and the allocation of shares.

(Module 22.1, LOS 22.b)

Question #17 of 21

Question ID: 1675891

Establishing information barriers between departments would fall under which section of the Code?

A) Investment Process and Actions.

B) Compliance and Support.

C) Trading.

Explanation

Establishing information barriers falls under the Trading section of the Code and is meant to restrict the flow of material nonpublic information so as to limit the potential misuse of this information for insider trading.

(Module 22.1, LOS 22.d)

Question #18 of 21

Question ID: 1675876

Which of the following is part of the ethical responsibilities related to the Asset Manager Code?

A) Appointing a compliance officer. ✗

B) Employing qualified staff. ✗

C) Communicating with clients on a regular basis. ✓

Explanation

The ethical responsibilities related to the Asset Manager Code are as follows:

- Always act ethically and professionally.
- Act in the best interest of the client.
- Act in an objective and independent manner.
- Perform actions using skill, competence, and diligence.
- Communicate accurately with clients on a regular basis.
- Comply with all legal and regulatory requirements.

The other answer choices listed relate to the specific section of the Code dealing with compliance and support.

(Module 22.1, LOS 22.b)

Question #19 of 21

Question ID: 1675873

Which of the following statements is *least accurate*? Adopting the Asset Manager Code benefits the firm by:

A) developing trust and confidence between the client and the firm. ✗

B) helping investors identify firms that adhere to sound ethical practices. ✗

C) bringing it into compliance with the Code of Ethics and Standards of Professional Conduct. ✓

Explanation

The Asset Manager Code is voluntary; thus, a firm is not obligated to adopt the code to be in compliance with the Code of Ethics and Standards of Professional Conduct. This is in contrast to individual CFA Institute members and candidates within the firm, who must adhere to the Code of Ethics and Standards of Professional Conduct.

(Module 22.1, LOS 22.a)

Question #20 of 21

Question ID: 1675875

Which of the following is part of the general principles of conduct related to the Asset Manager Code of Professional Conduct?

A) Communicating with clients in an accurate and timely manner.

B) Disclosing conflicts of interest.

C) Seeking best execution.

Explanation

The general principles of conduct related to the Asset Manager Code of Professional Conduct are as follows:

- Act in a professional and ethical manner at all times.
- Act for the benefit of the clients.
- Act with independence and objectivity.
- Act with skill, competence, and diligence.
- Communicate with clients in a timely and accurate manner.
- Uphold the applicable rules governing capital markets.

The other answer choices deal with specific sections of the Asset Manager Code, but they are not considered part of the general principles of conduct.

(Module 22.1, LOS 22.b)

Question #21 of 21

Question ID: 1675893

Which of the following procedures is not part of the Performance and Valuation section of the Code?

A) Adopting the Global Investment Performance Standards (GIPS®).

B) Having an independent third party value client accounts.

C) Performing stress testing on complex derivative products.

Explanation

The Performance and Valuation section of the Code deals with reporting the client's and manager's results in an accurate manner without misrepresentation. It includes recommendations on adopting GIPS as well as having independent third parties being responsible to value accounts (to avoid conflicts of interest as manager fees are normally based on account value). Stress testing falls under the section of the Code dealing with Risk Management, Compliance, and Support.

(Module 22.1, LOS 22.d)